

Mock Test: Senior 1 Accounting

Time allowed: 2 hours. **Total:** 100 marks. All amounts are in Malaysian Ringgit (RM).

Instructions

- Answer **all** questions in Sections A, B and C.
- Show your workings. Marks are given for method.
- Use the formats taught in class: journals (Date | Particulars | Debit | Credit), ledger accounts (Date | Particulars | Folio | Amount) and statements (Particulars | RM | RM | RM).

The mark scheme is in `Mock_Test_Answers.md`. A self-marking version is in `excel/Mock_Test.xlsx`.

Section A: Multiple choice (10 marks)

A (Section A: multiple choice, 10 marks)

Section A: multiple choice. 1 mark each. Choose A, B, C or D.

1. Which double entry writes off an irrecoverable debt?

- A. Debit irrecoverable debts, credit trade receivable
- B. Debit trade receivable, credit irrecoverable debts
- C. Debit bank, credit irrecoverable debts
- D. Debit allowance for irrecoverable debts, credit bank

2. Trade receivables are RM40,000. The allowance is to be 5%. The allowance brought forward is RM2,500. What is the effect on the Statement of Profit or Loss?

- A. Expense of RM2,000
- B. Income of RM500
- C. Expense of RM500
- D. Income of RM2,000

3. A machine costs RM30,000, has a residual value of RM3,000 and a useful life of 6 years. What is the annual straight line depreciation?

- A. RM5,000
- B. RM3,000
- C. RM4,500
- D. RM5,500

4. Equipment costs RM25,000 and is depreciated at 20% per year, reducing balance. What is the depreciation charge in Year 2?

- A. RM5,000
- B. RM3,200
- C. RM20,000
- D. RM4,000

5. A vehicle cost RM20,000. Accumulated depreciation is RM12,000. It is sold for RM9,500. What is the result?
- A. Profit of RM1,500
 - B. Loss of RM1,500
 - C. Profit of RM9,500
 - D. Loss of RM8,000
6. Rent paid during the year was RM7,200. At the year end RM600 was owing. What is the rent expense?
- A. RM6,600
 - B. RM7,200
 - C. RM7,800
 - D. RM8,400
7. How is income received in advance shown in the Statement of Financial Position?
- A. Current asset
 - B. Current liability
 - C. Other income
 - D. Non-current liability
8. A RM10 stapler is recorded as an expense, not a non-current asset. Which concept applies?
- A. Prudence
 - B. Consistency
 - C. Going concern
 - D. Materiality
9. Where is carriage inwards shown?
- A. Expenses in the Statement of Profit or Loss
 - B. Cost of sales
 - C. Current liabilities
 - D. Other income
10. Current assets are RM25,000, current liabilities RM9,000 and a long-term loan RM10,000. What is the working capital?
- A. RM6,000
 - B. RM34,000
 - C. RM16,000
 - D. RM26,000
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Section B: Structured questions (40 marks)

Answer all four questions. Each question carries 10 marks.

B1 (Section B, Chapter 8: 10 marks)

Lim's year ends on 31 December 2025. Trade receivables are RM45,600 before writing off a debt of RM1,600 owed by Tan, who is bankrupt. The allowance for irrecoverable debts brought forward is RM1,500.

It is to be 4% of the remaining trade receivables.

- a) Calculate trade receivables after the write-off, the new allowance and the change in the allowance. (3)
- b) Prepare the journal entries to write off Tan's debt and to record the change in the allowance. (4)
- c) Show the Statement of Financial Position extract for trade receivables. (3)

B2 (Section B, Chapter 10: 10 marks)

On 1 January 2024 a business bought a van for RM48,000. It is depreciated at 25% per year, reducing balance. The year ends on 31 December. On 1 January 2026 the van was sold for RM25,000 by cheque.

- a) Calculate the depreciation for 2024 and 2025 and the carrying amount at 31 December 2025. (3)
- b) Prepare the Disposal of van account. (5)
- c) State where the loss appears, and name the concept that requires depreciation. (2)

B3 (Section B, Chapter 11: 10 marks)

Wong's year ends on 31 December 2025.

- Rent is RM900 per month. RM9,900 was paid during the year.
- Insurance of RM400 was prepaid at 1 January 2025. On 1 April 2025 RM3,000 was paid for 12 months.

- a) Calculate the rent expense, the rent owing, the insurance expense and the insurance prepaid. (4)
- b) Prepare the Insurance account for the year. (4)
- c) Show where the rent owing and the insurance prepaid appear. (2)

B4 (Section B, Chapter 12: 10 marks)

- a) Name the concept that applies to each situation. (4)
- b) Goods cost RM3,000. They can be sold for RM2,600 after repairs of RM400. Calculate the net realisable value and the value for inventory, and name the concept. (3)
- c) Explain the going concern concept and how asset values would change if a business were closing. (3)

Section C: Financial statements (50 marks)

C (Section C, financial statements: 50 marks)

Siti Enterprise. Trial balance at 31 December 2025 and additional information.

Siti Enterprise: Trial Balance at 31 December 2025

Particulars	Debit (RM)	Credit (RM)
Revenue		125,000
Purchases	68,000	
Sales returns	2,000	
Purchases returns		1,500
Carriage inwards	1,200	
Carriage outwards	800	
Inventory at 1 January 2025	9,000	
Wages	18,000	
Rent	7,700	
Insurance	2,400	
Electricity	1,900	
Discount allowed	500	
Discount received		700
Rent received		3,000
Irrecoverable debts	600	
Premises at cost	80,000	
Fixtures at cost	15,000	
Provision for depreciation: fixtures		3,000
Motor vehicle at cost	32,000	
Provision for depreciation: motor vehicle		12,000
Trade receivables	16,200	
Allowance for irrecoverable debts		700
Trade payables		9,800
Bank overdraft		2,100
Cash	300	
Loan (repayable 2030)		20,000
Capital		89,800
Drawings	12,000	
Total	267,600	267,600

Item	Figure
1. Closing inventory (RM)	10,500
2. Rent owing (RM)	700
3. Insurance prepaid (RM)	600
4. Rent received in advance (RM)	250
5. Further irrecoverable debt to write off (RM)	200
6. Allowance: % of remaining trade receivables	5%
7. Fixtures: % of cost per year (straight line)	10%
7. Motor vehicle: reducing balance rate	25%
8. Loan interest per year (unpaid)	6%

Premises are not depreciated.

a) Prepare the Statement of Profit or Loss for the year ended 31 December 2025. (25)

b) Prepare the Statement of Financial Position at 31 December 2025. (25)

End of paper.